terms of the fiscal consolidation roadmap leading to a fiscal deficit of **3.0** per cent of GDP in **2016-17** (shown by the Union Budget 2013-14 also). Addressing the key fiscal risk of *petroleum subsidies* is critical in better fiscal marksmanship. With the recent 'reforms in diesel prices' and efforts at expenditure reprioritisation, the medium-term fiscal consolidation plan is credible and could be expected to yield macroeconomic dividends in terms of higher growth and price stability.

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1. L. N. Rangarajan (ed.), ***The Arthashastra,*** Penguin Books, N. Delhi, 1992.
2. The size of government expenditure for the developed economies stood at almost 10 per cent of their GDPs at the begining of the 20th century—which could rise to 18 per cent only at the outbreak of the Second World War—went for a steep rise by 1980 to 40 per cent. The government expenditure was barely 9 percent of the GDP in India at the time of Independence, nearly doubled in 1970s and reach 75 per cent in the 1980s—when questions were raised about their sustainability as revenue receipts failed to grow adequately resulting in rising budgetary deficits (see Amaresh Bagchi (ed.), ***Readings in Public Finance,*** Oxford University Press, N. Delhi, 2005, pp. 1–4).
3. It should be noted here that the world which had the form of the state economy (i.e., the Socialist countries at this time, majority of the economic activities were under government control. As the communist form of the state economy emerged by the late 1940s (i.e., Peoples Republic of China, 1949), it had 100 per cent state control over the economic activities.
4. ***Collins Dictionary of Economics,*** op. cit., & **Oxford Dictionary of Business**, op. cit.
5. Based on the Budgetary documents of the Ministry of Finance, Government of India, N. Delhi.
6. ***Union Budget 1987–88,*** MoF, GoI, N. Delhi.
7. ***Review of the Working of the Monetary System,*** headed by Sukhomoy Chaktravarthy, RBI, GoI, N. Delhi, 1985.
8. Raja J. Chelliah, ***'The Meaning and Significance of the Fiscal Deficit'*** in Amaresh Baghi (ed.), ***Readings in Public Finance,*** op. cit., pp. 387–88. Also see ***Union Budget 1997–98,*** MoF, GoI, N. Delhi.
9. Raja J. Chelliah, op. cit., pp. 381 & 387. Also see ***Union Budget 1997–98,*** MoF, GoI, N. Delhi.
10. ***Union Budget 1997–98,*** op.cit.
11. Raja J. Chelliah, op. cit., P. 389. Also see ***Union Budget 1997–98,*** op.cit.
12. In the US economy if tax revenue falls short of government expenditures, the government has a ***fiscal deficit,*** and it means that the government needs to borrow in the capital market to cover the difference. Opposite to it, if the government runs a ***fiscal surplus*** (i.e. its tax revenues exceed its expenditure) then the government, like the household sector, will be a net saver and will represent a source of saving for the economy (see Stiglitz and Walsh, ***Economics,*** op.cit., p. 549)